EXECUTIVE SUMMARY

I. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the second district of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality.

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Lasam for the year ended December 31, 2016. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

II. Financial Highlights

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2016 and 2017:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2016	2015	Increase (Decrease)
Assets	₱157,794,655.75	₱120,773,898.38	₱37,020,757.37
Liabilities	24,223,558.58	20,891,934.10	₱3,331,624.48
Government Equity	133,571,097.17	99,881,964.28	₱33,689,132.89
b. Income and Expenses			
Income	₱112,531,606.86	₱104,079,560.00	₱8,452,046.86
Expenses	76,974,988.84	71,199,228.76	₱5,775,760.08
c. Appropriations/Obligation			
Appropriations	₱110,500,000.00	₱101,120,000.00	₱9,380,000.00
Obligations	₱103,353,038.54	₱94,398,491.50	₱8,954,547.04

The Municipality's assets and liabilities increased by ₱37,020,757.37 and ₱3,331,624.48 respectively. Likewise, the equity increased by ₱ ₱33,689,132.89 during the year.

Total income amounted to ₱112,531,606.86 for the year which is higher than last year's total income by ₱8,452,046.86. A total amount of ₱110,500,000.00 was appropriated during the year of which ₱ 103,353,038.54 was obligated.

III. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱95,884,382.68 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

IV. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. The physical existence and condition of the Property, Plant and Equipment, totaling ₱95,884,382.68 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all LGU properties and the absence of property and equipment ledger cards maintained at the office of the Municipal Accountant in violation of Section 124, Volume I of the Manual on the New Government Accounting System.

   We recommended that management conduct physical inventory of all LGUs properties at least once a year and submit the corresponding Report on the Physical Count of Property, Plant and Equipment (RPCPPE) to the office of the Auditor for verification. Likewise, instruct the Municipal Accountant to maintain property and equipment ledger cards of all LGUs properties to facilitate verification of its recorded assets.

2. The accuracy and reliability of Cash on Local Treasury balance of ₱ 2,780,438.15 as of yearend could not be ascertained due to the non-reconciliation of cash book balance and general ledger contrary to Item F Section 63 of the Local Treasury Operations Manual and Section 181 of the Government and Accounting Manual Volume 1 (c).

   We recommended that the Municipal Treasurer and ICO-Accountant to closely monitor and ensure the accuracy and reliability of the Cash on Local Treasury balance by reconciling the entries in the Cashbook and General Ledger.

3. Cash Advances to Officers and Employees totaling ₱18,954,236.61, remained unliquidated as of yearend contrary to Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997.

   We recommended the management to strictly implement the provisions of COA Circular No. 97-002 and P.D. 1445 relevant to the granting and liquidation of cash advances. In addition we recommended the management to require the

concerned officials and employees with unliquidated cash advances to immediately settle the same.

4. The LGU Lasam has not effectively utilized its LDRRMF during the year with its utilization rate of only 18% thereby exposing the LGU to probable risk of the effects of insufficient disaster preparedness.

   We recommend the management to further enhance its disaster preparedness and strengthen its disaster response capabilities by fully implementing its LDRRMF Plan and Budget.

5. The Municipality has no Solid Waste Management Plan duly approved by the National Solid Waste Management Commission in Violation of Section 16 of Republic Act No. 9003. Thus, it deprived the constituents of the municipality to a systematic, comprehensive and ecological solid waste management program on better protection of public health and environment.

   We recommended the Management to cause the immediate preparation of its Solid Waste Management Plan and to submit the same to the National Solid Waste Management Commission to ensure that the programs and activities laid therein are consistent with the National Solid Waste Management Framework and to ensure that the municipality adopted a systematic, comprehensive, and ecological waste management program**.**

V. Summary of Total Suspensions, Disallowances and Charges as of Year-End

	2016	2015	Increase (Decrease)
Suspensions	₱ 219,895.45	₱ 219,895.45	₱ -
Disallowances	2,052,800.95	-	2,052,800.95
Charges	-	-	-
Total	**₱ 2,274,712.40**	**₱ 219,895.45**	**₱ 2,052,800.95**

VI. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty (20) audit recommendations embodied in the previous Annual Audit Report, three (3) were fully implemented, two (2) were partially implemented and the remaining fifteen (15) were not implemented.